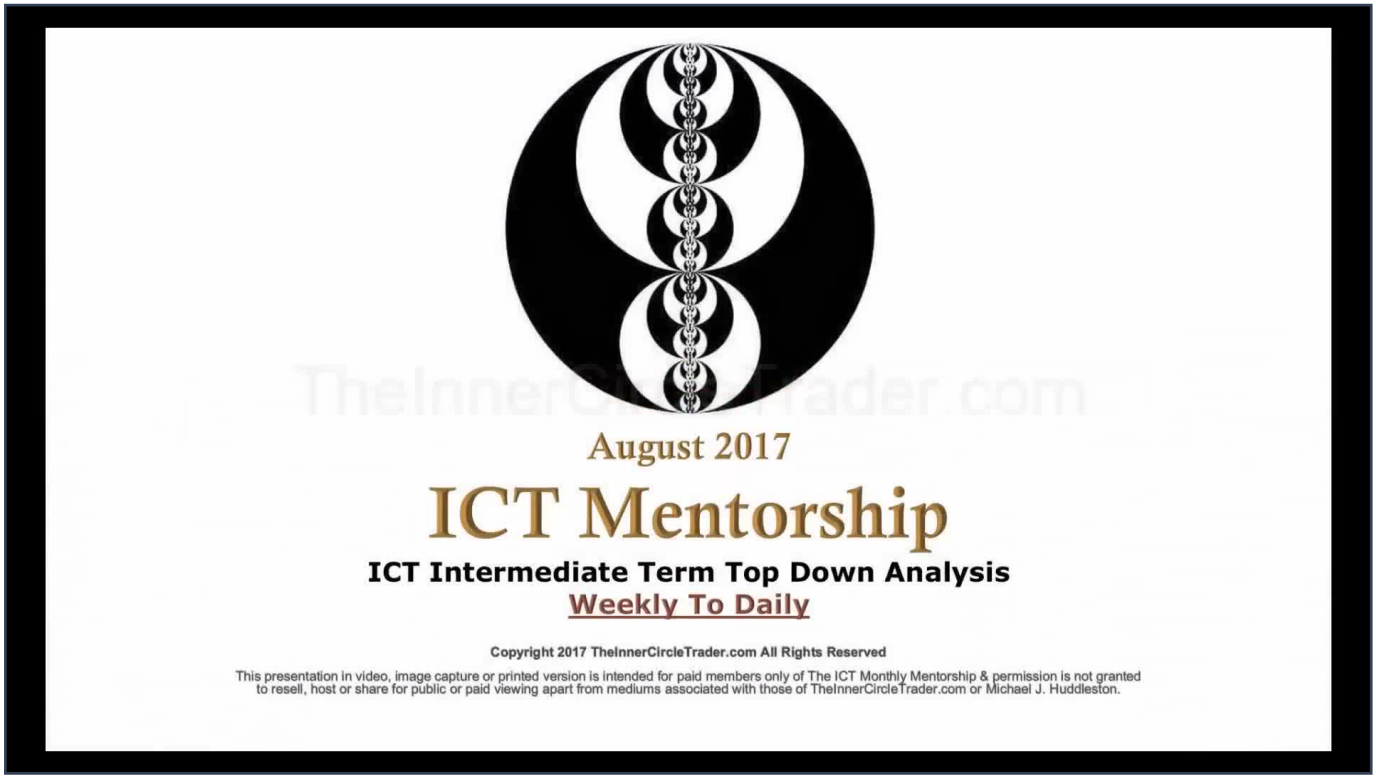
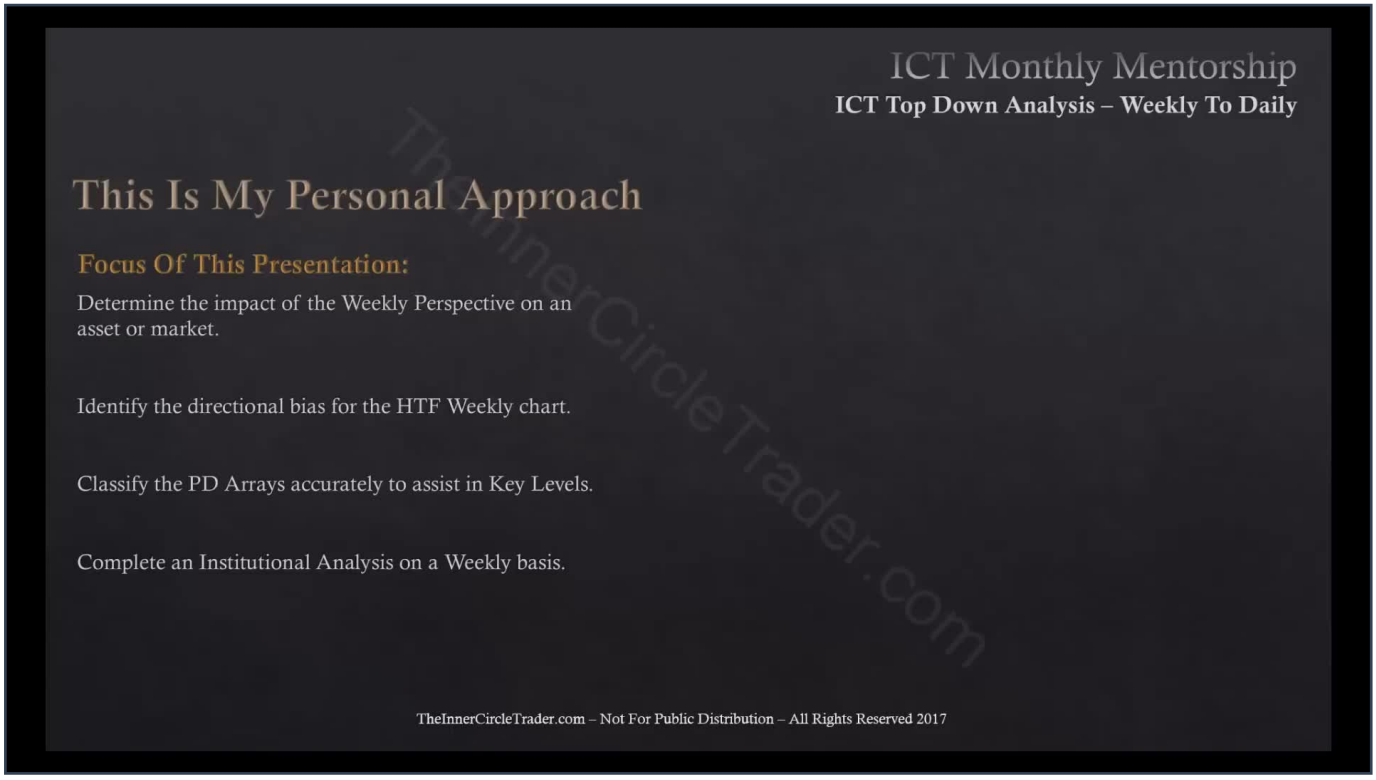
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 12 - INTERMEDIATE TERM TOP DOWN ANALYSIS

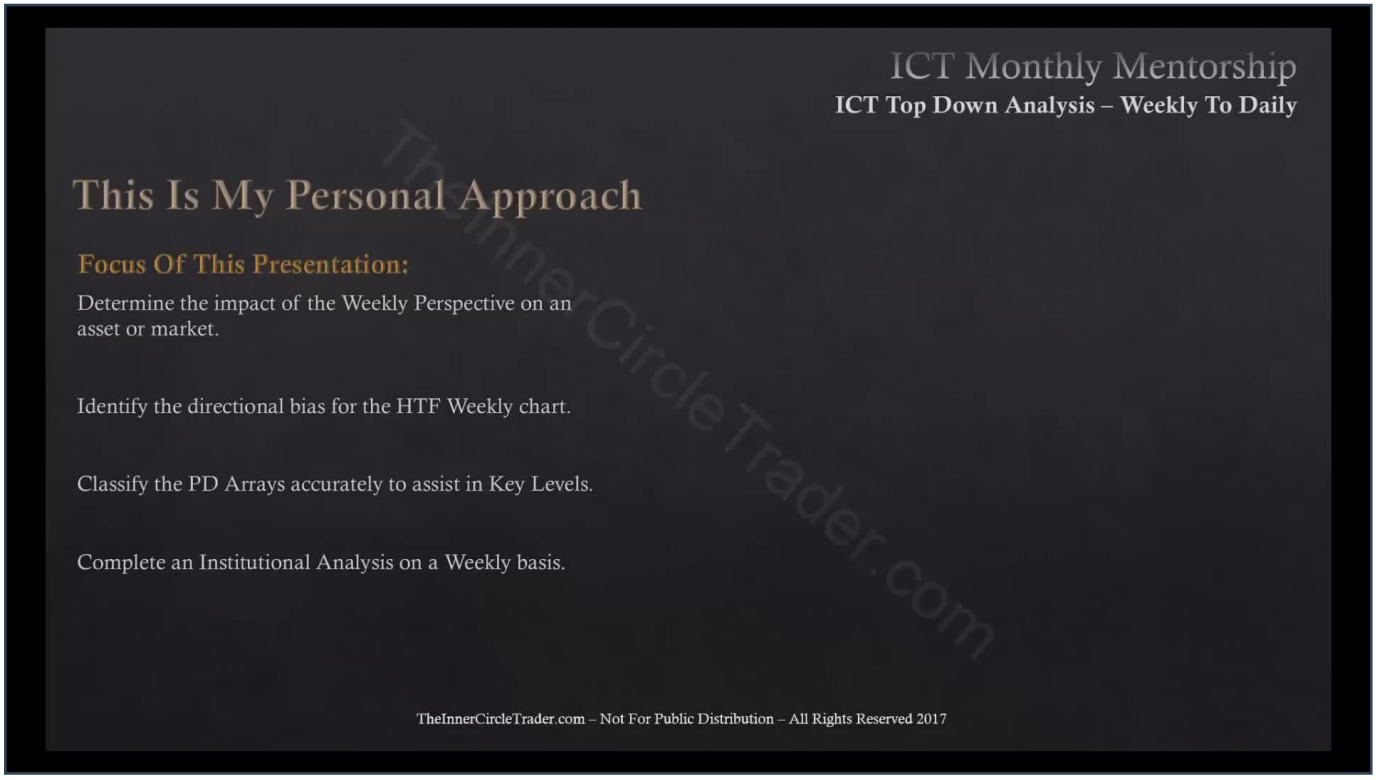


Welcome back to the second to fourth teachings and the final delivery month of our mentorship. This teaching is ICT Intermediate Term Top-Down Analysis: Weekly to Daily.

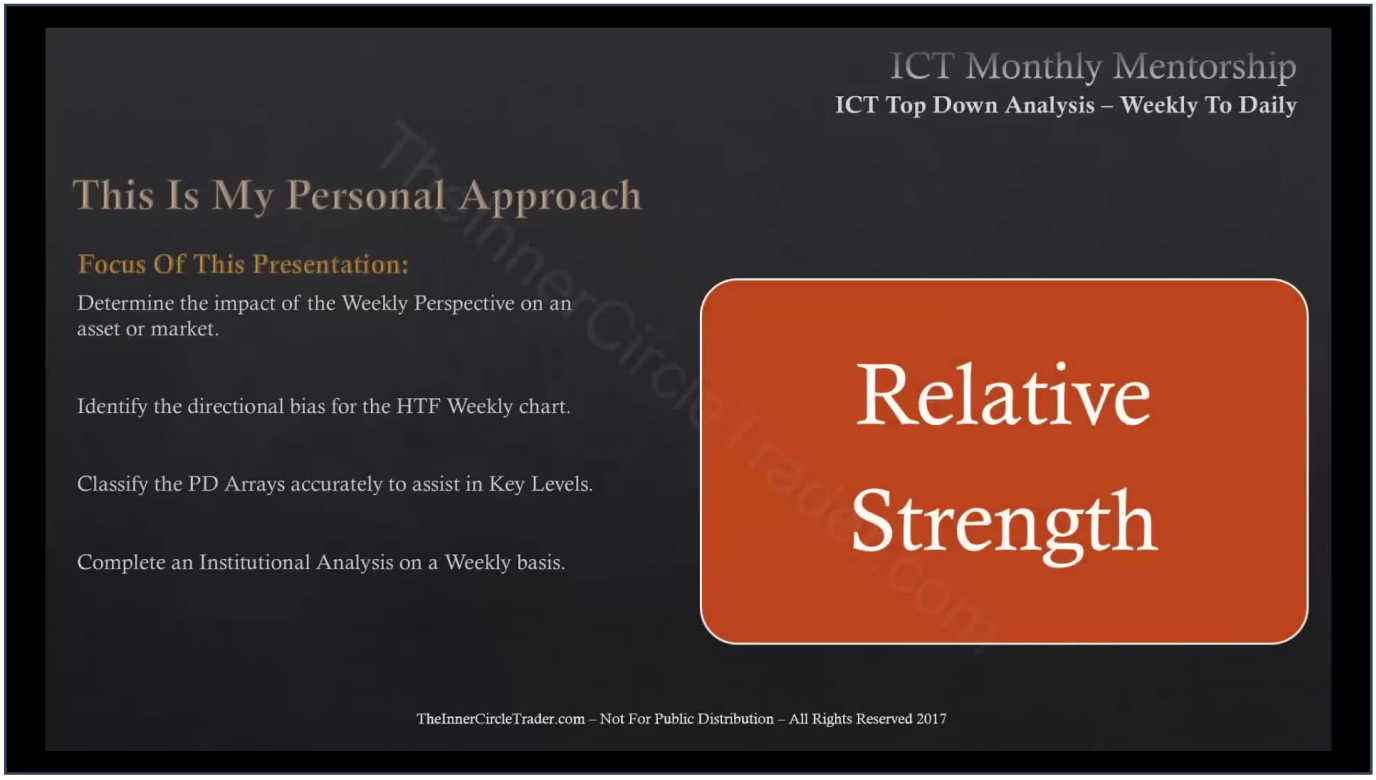
Again like on the previous monthly to weekly presentation, what I'm doing is I'm giving you my personal approach. This is how I do it. And again this is a model but this is how I go through the process of taking the information I've gleaned from the monthly chart and transposing it to the weekly. Now weekly information I give you here will be transposed to the Daily.



Now most of this is going to be basically verbatim what we saw on the monthly chart, which is the reason why I tell you we went through 11 and a half months of content that seems like an amazing Olympic feat to do. But you have all this information but you haven't had any idea what to do with it specifically in an order. And I told you from the beginning once you get to this month you'll see just how easy it is to use the information and it doesn't take a lot of time. What element of time that is required is you getting used to doing it so that way you understand what you're looking for and it makes your analysis quicker. Now doesn't mean shortcuts are the way to profit, so doesn't mean you half rear end approaches if you will, like my grandfather used to tell me, don't don't half-ass anything. If you do a half-ass attempt at your analysis, well don't be surprised if you get lackluster results. But once you understand what it is specifically you're doing and how you're breaking the market down, it does not take long folks. It does not take long. I'm actually going to spend more time talking and describing what it is that you have to do than if you just did it.

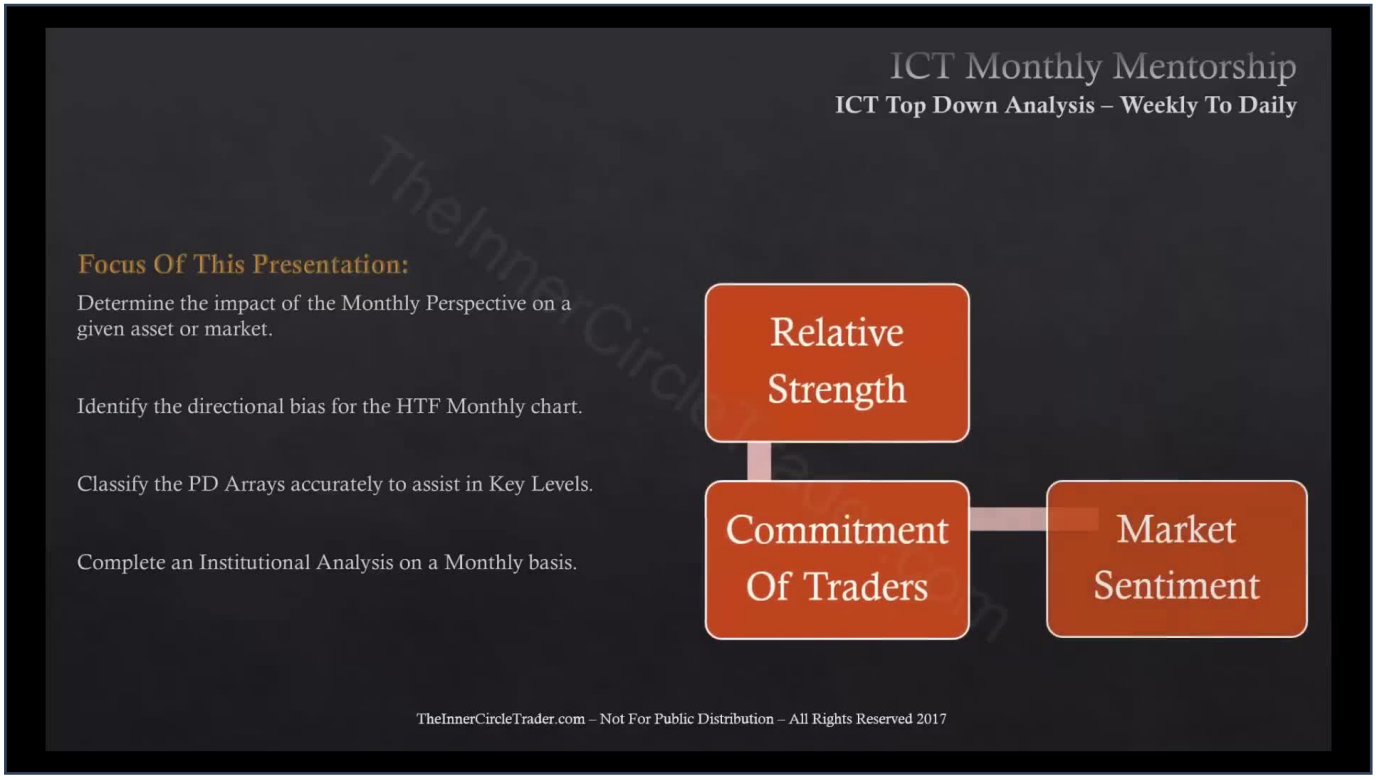


The focus on this presentation much like on the monthly to weekly is we're going to determine the impact of the weekly perspective on any asset or market. We're going to identify the directional bias for the higher time frame weekly chart. We're going to classify the PD arrays accurately to assist in key levels, and we're going to complete an Institutional analysis on a weekly basis.

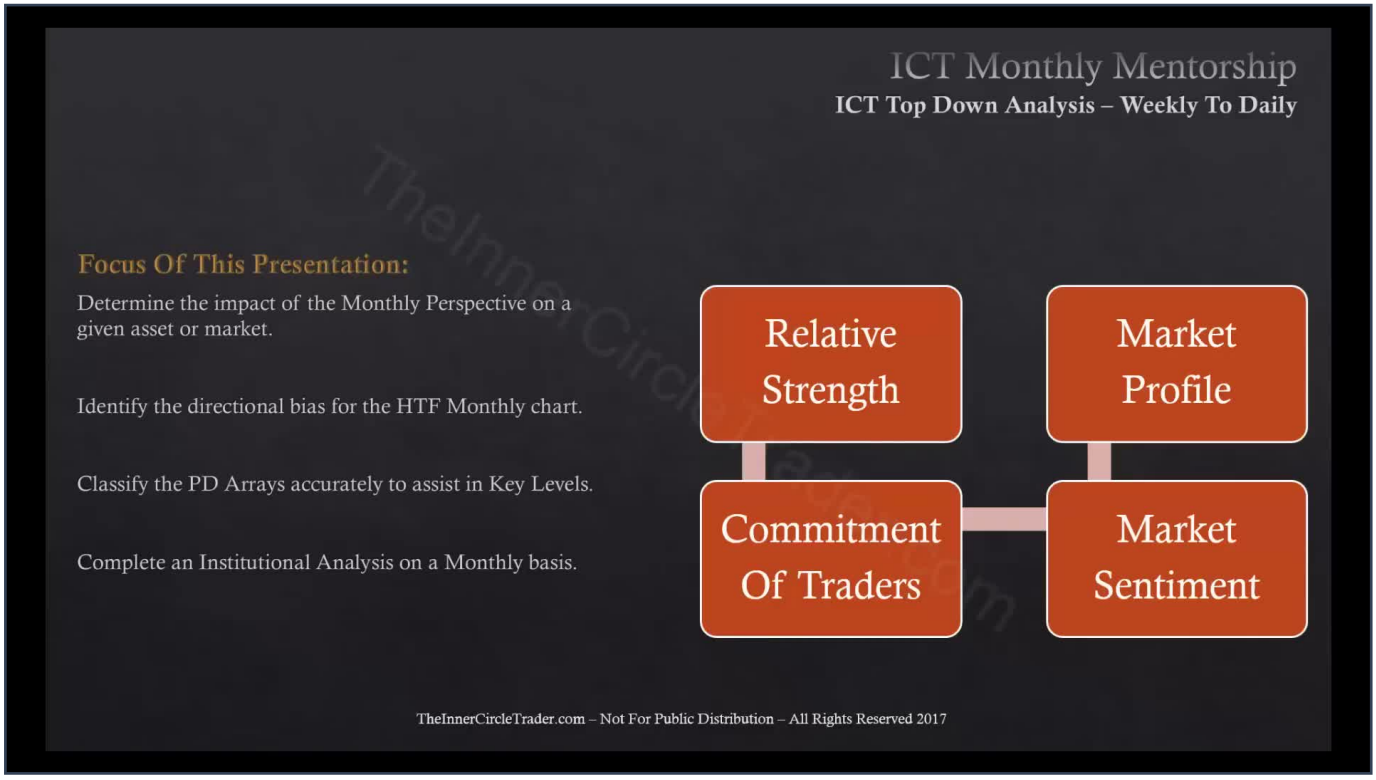


The first thing I start with when I'm doing a new week is I start with Relative Strength. Now the reason why I start with Relative Strength is I may not have a clear picture from the monthly, and to avoid any needless frustration, if the monthly charts don't really speak well to me, then I'll just go through the process of doing a relative strength analysis on the assets and the specific currencies or stocks or Futures markets that I'm looking to trade.

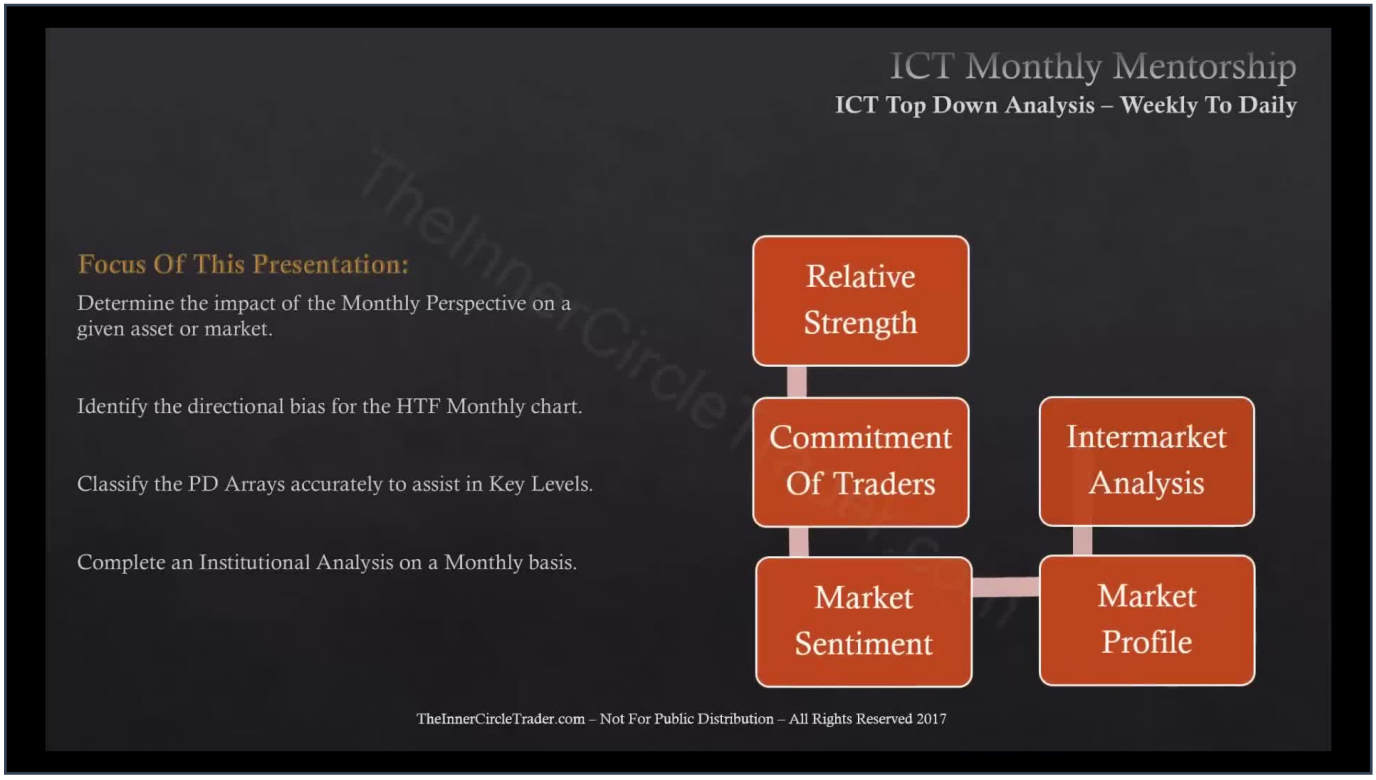
After I do my relative strength analysis, I go into the Commitment of Traders, and what I'll do is I'll go through all the currencies and commodities and I'll look for extremes in the readings of the commercials. And I'll give you the specifics when we get through the breakdown on what is I'm looking for, but it goes from relative strength analysis, and then once I have what I believe is the, um, you know, leaders or my watchlist, if you will, from my relative strength analysis of hopefully the trades that I find on the monthly chart, like we did with the Australian dollar in the previous teaching with the monthly to weekly. Hopefully that Australian dollar makes the cut for the relative strength analysis and we'll take a look at that as our continuing example. But then we go into Commitment of Traders, and I like to look for what the commercials are doing. I'm going to get a read on what those heart, those hedgers are doing, because they're well informed, and they usually make the tops and bottoms in the marketplace. So if we can get their readings in the extreme basis, then we can try to trade in the middle where the majority of the move is made.



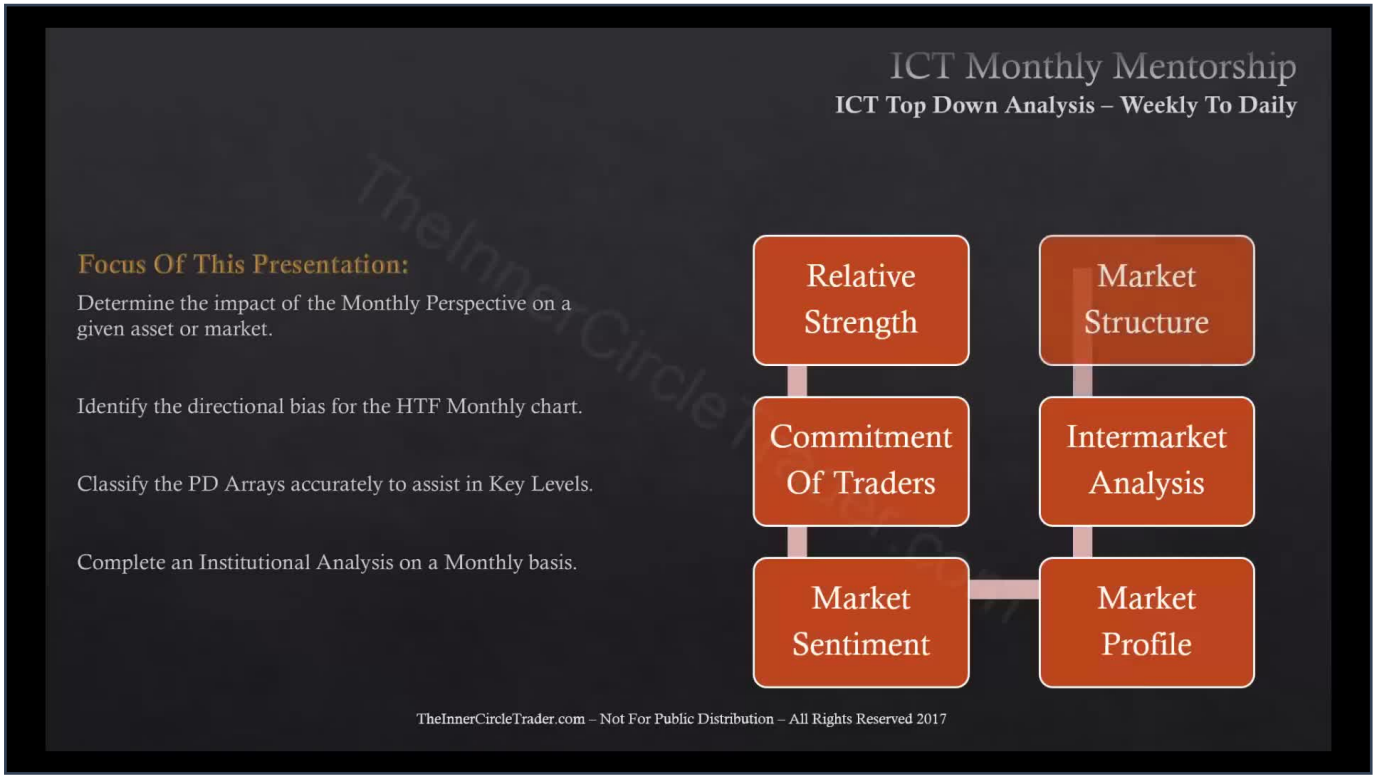
After that, I do a Market Sentiment analysis, and I go through a couple different things that arrive at Market Sentiment, and I'll share that with you in this teaching as well. Once I arrive at a market sentiment opinion, then I start breaking the market down in a technical fashion like we did with the monthly. So there's a couple things missing here that we saw in the monthly that is not in the weekly portion. We had three different things that started off the monthly, and we have three different things before the weekly here, so I won't get down to a weekly chart. We're starting to look at more of opinions of others versus just technicals, and we weigh them against the technical strength and weakness by way of the relative strength analysis. Once we arrive at our watchlist, and we determine which markets are fueled by commercial hedging, and then we also blend in Market Sentiment ideas with everyone else in the retail world is thinking, uh, because ideally, you want to be diametrically opposed to that in an alignment with what the smart money is doing.



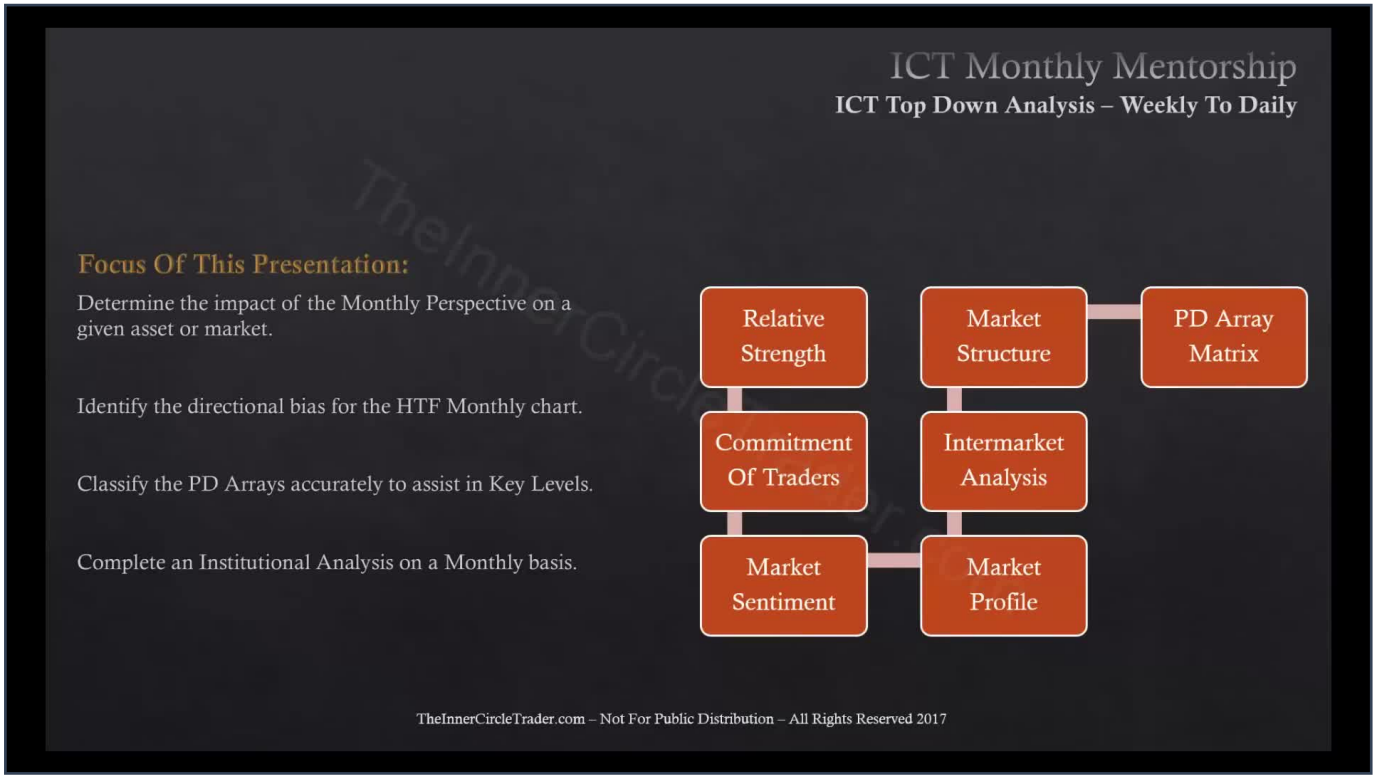
Market Profile is the next thing I can look at, and I start breaking down what the weekly looks like in terms of Market Profiling: is it in consolidation? Is it in a trending environment? Those types of things, and just like we did with the monthly, the same thing applies here on the weekly.



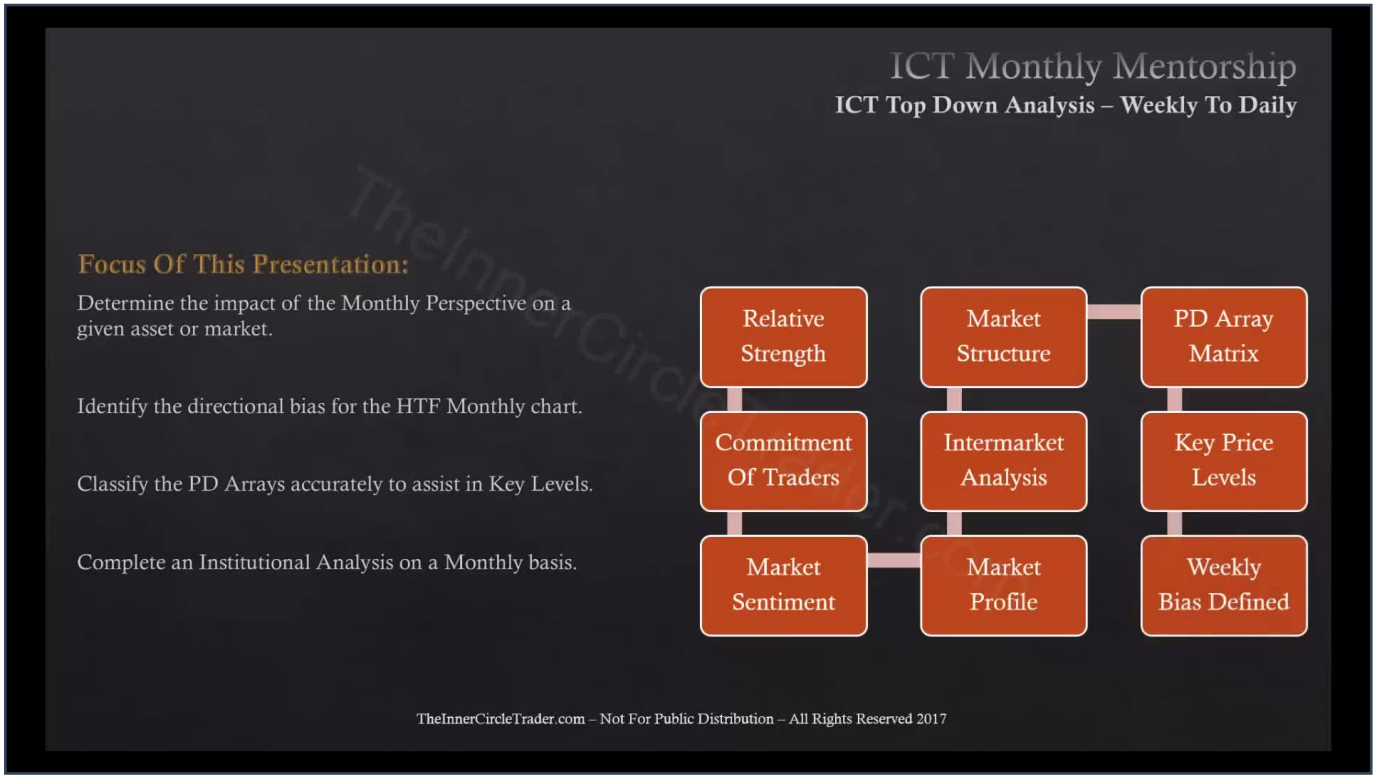
After I do Market Profiling, I look at Intermarket Analysis on a weekly basis. So I start comparing what the weekly charts look like in other correlated markets, and I compare likes and price action with positive and negatively correlated assets and markets with the market I'm looking to trade. So it's an example: I could be looking at, you know, a dollar versus, uh, you know, the Kiwi on a weekly basis and seeing if there's, uh, you know, intermarket analysis supporting an idea I may have for the dollar or for the Kiwi.



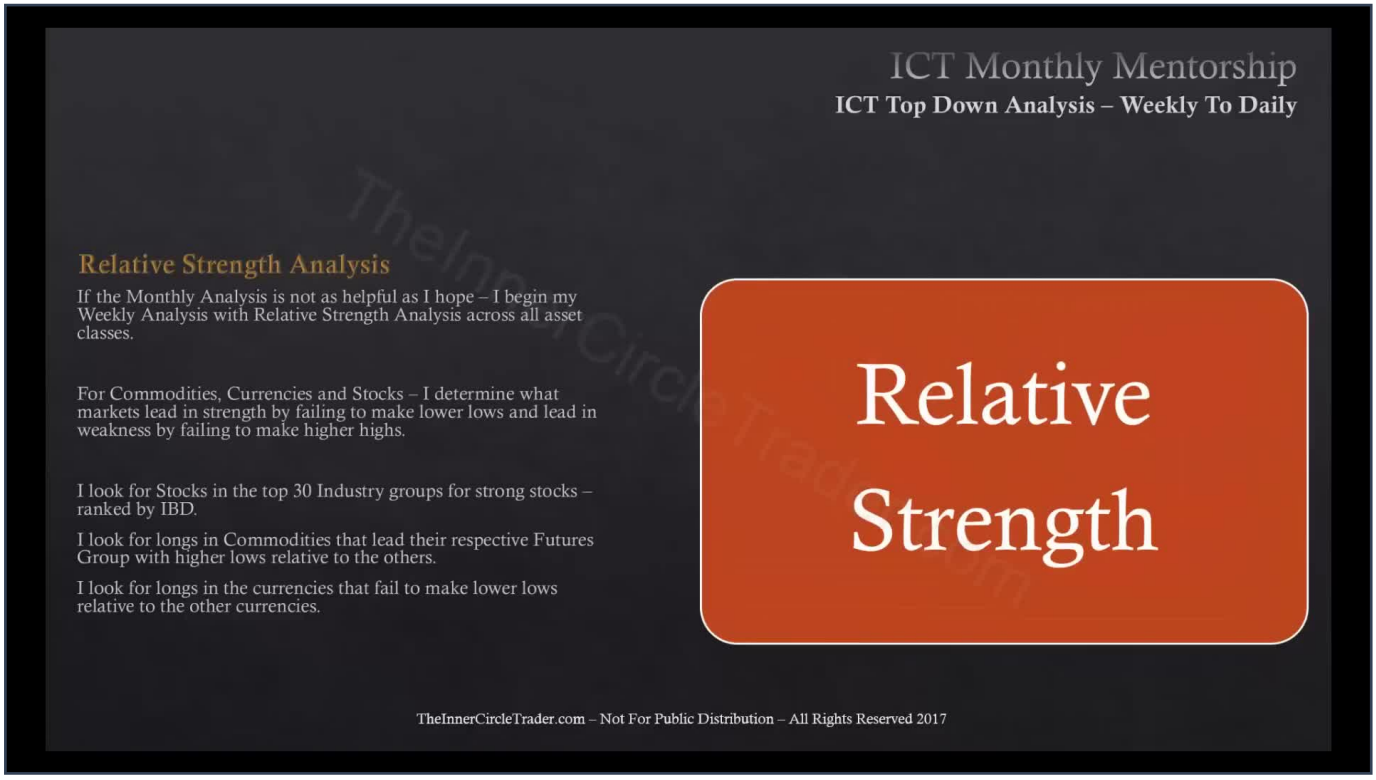
After that, I start looking at Market Structure, and at this point, I want to start blending and incorporating institutional order flow. Now, institutional order flow, I want to be looking for down close candle supporting price and up close candles being broken and up moves or bullish Market Structure. And I'm going to see up close candles resisting price and down close candles breaking as Market Structure is indicating lower prices. So everything we mentioned in previous about the monthly applies, but now we're going to start looking heavily for institutional sponsorship in by studying the order flow.



The next is I break down the PD array Matrix on a weekly, and I'll do the same thing I saw on the monthly charts on the weekly as well. So everything that I would break down in terms of the range that's defined by now the weekly chart, so any PD array that didn't exist in the monthly may now materialize in the weekly chart because you're going to get much more definition because you're going into a lower time frame. And after that, by having the weekly PD array Matrix defined, both premium and discount arrays, then I can start working towards calibrating my key price levels for support and resistance or buy and sell areas.



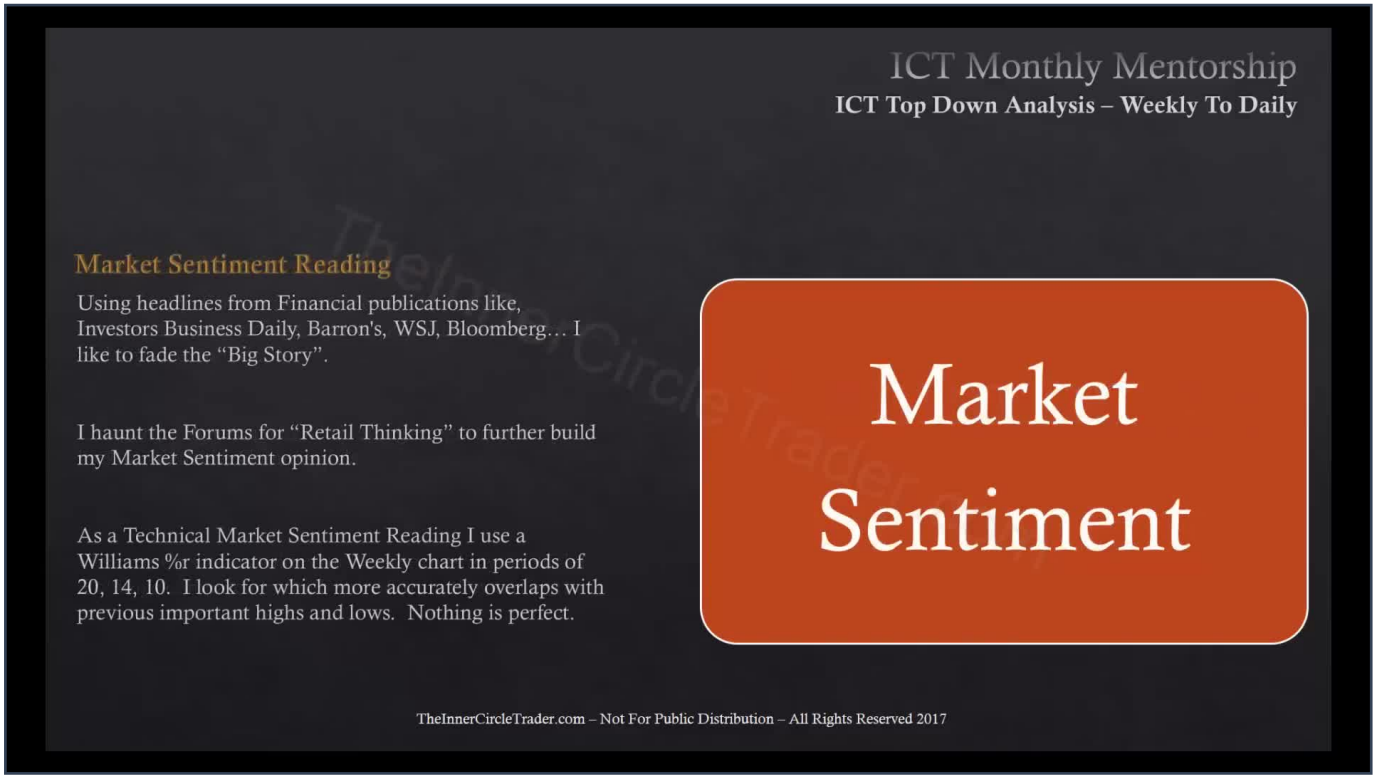
And then as a result, I come to a weekly bias, and it's defined in such a way where now I can take that information and transpose that to the daily chart.



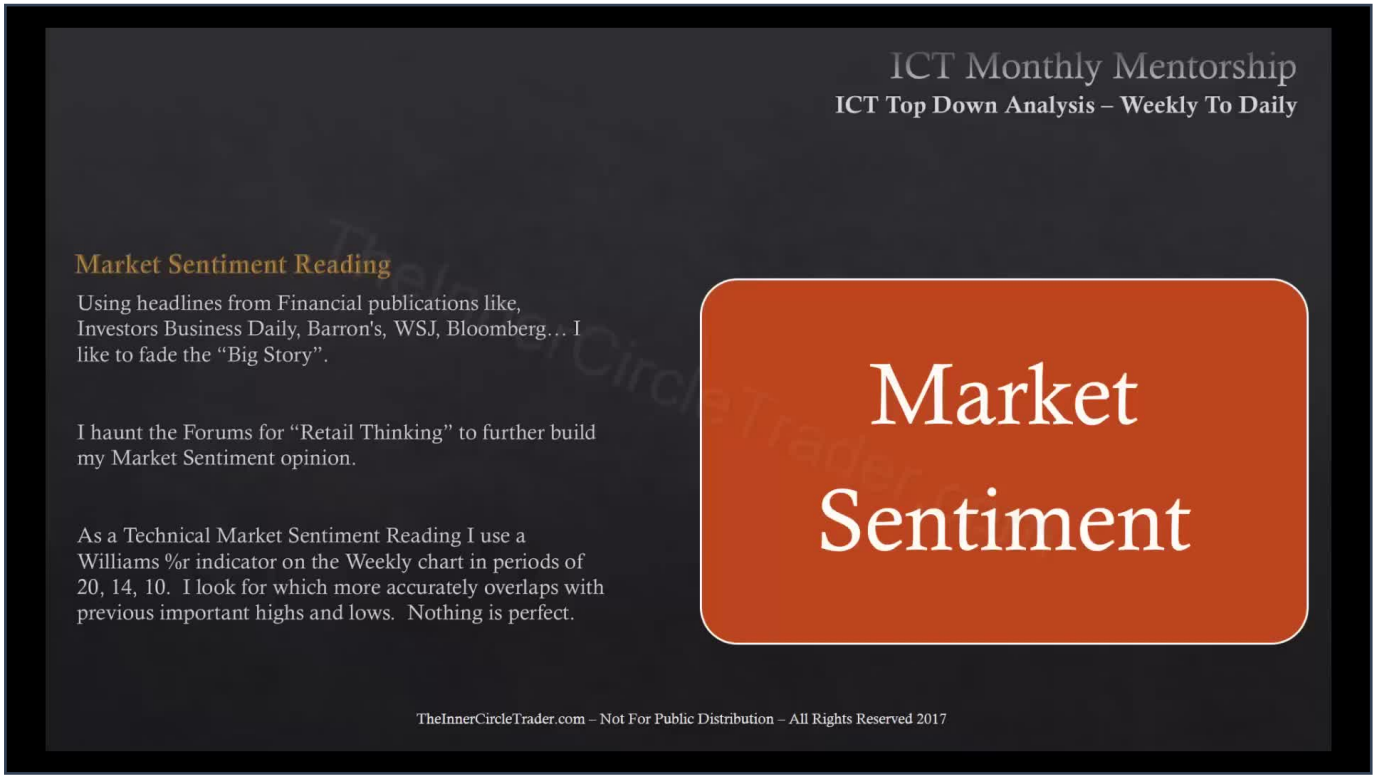
Let me detail what I begin with when I start my intermediate term analysis: I start with Relative Strength. So if the monthly analysis is not as helpful as I hope and or it's not clear to me, you know, I begin my weekly analysis with relative strength analysis across all asset classes. That means for commodities, currencies, and stocks. I determine what markets lead in strength by failing to make lower lows and lead in weakness by failing to make higher highs. I look for stocks in the top 30 industry groups for strong stocks ranked by Investors Business Daily or IBD, and I'm going to actually do a separate individual teaching as a topical study so that way you'll see how I go through and sort with IBD's resources. You can see me do it and you can do the same thing when you look for stocks as well. I look for longs in commodities that lead their respective Futures group with higher lows relative to the others. In other words, in the grains, I'm going to find a market that doesn't make a lower low when all the grains should be bullish and dollar is weak. And I look for longs in currencies that fail to make lower lows relative to the other currencies when the dollar Index is weak. I look for leadership and laggards, so I want to know what the strongest is and the weakest when I'm doing my relative strength analysis concepts.

Next thing I go into Commitment of Traders, and I want to know what the commercial hedgers are doing because the commercials, they hedge in such a large degree of buying and selling, they themselves end up creating the highs and the lows or tops and the bottoms in the marketplace. Now, if you know what they're most likely doing in terms of a high or low, then you know you got a long period of meat in the middle type move or a range expansion that's directionally biased. So by having this expectation about what the commercials have already done in the marketplace, they're going to be diametrically opposed to what the large funds are doing. And since we really want to be using the commercials to give us the the high in the low end of the range based on their extremes, we trade with the direction of the large funds in between the middle because you'll see they're dimensionally opposed. So at the highs and the low for the tops and the bottoms, the commercials are always right. In between those two price points, the large funds are accurate, they're right, that's why large funds continuously make a lot of money. But at the extremes, they always get their ass handed to them. So we want to know when the hedgers are calling for a potential high or a potential low, and we work within the middle.

I look for the commercials to be at a 12-month or six-month extreme in net holdings. I also like to sort markets that are at two-year and four-year extremes. Not using my proprietary COT hedging program concept, I look for signs that commercials are buying or selling a market. Now you're going to go back and look at those teachings, it relates to that, I'm not going to teach it again here. But I like to look for when the commercials are buying when it doesn't appear it's obvious, like when we look at the zero line on the net Trader position chart that everyone looks at. If it's above the zero line, they think they're buying, well, they are, but they could also be selling inside that that range also. But you have to look at the 12-month extreme high and low rating and dividing that in half, you can actually get a better read on what their hedging program is. And I also like to sort Commodities that have an extremely large net holding compared to the Futures groups they're part of. For instance, if I look at the grains again, if there's a huge astronomical amount of net long positions in the soybean market versus then that of all the other grain markets, generally that's going to be an indicative of them seeing a big move as well.



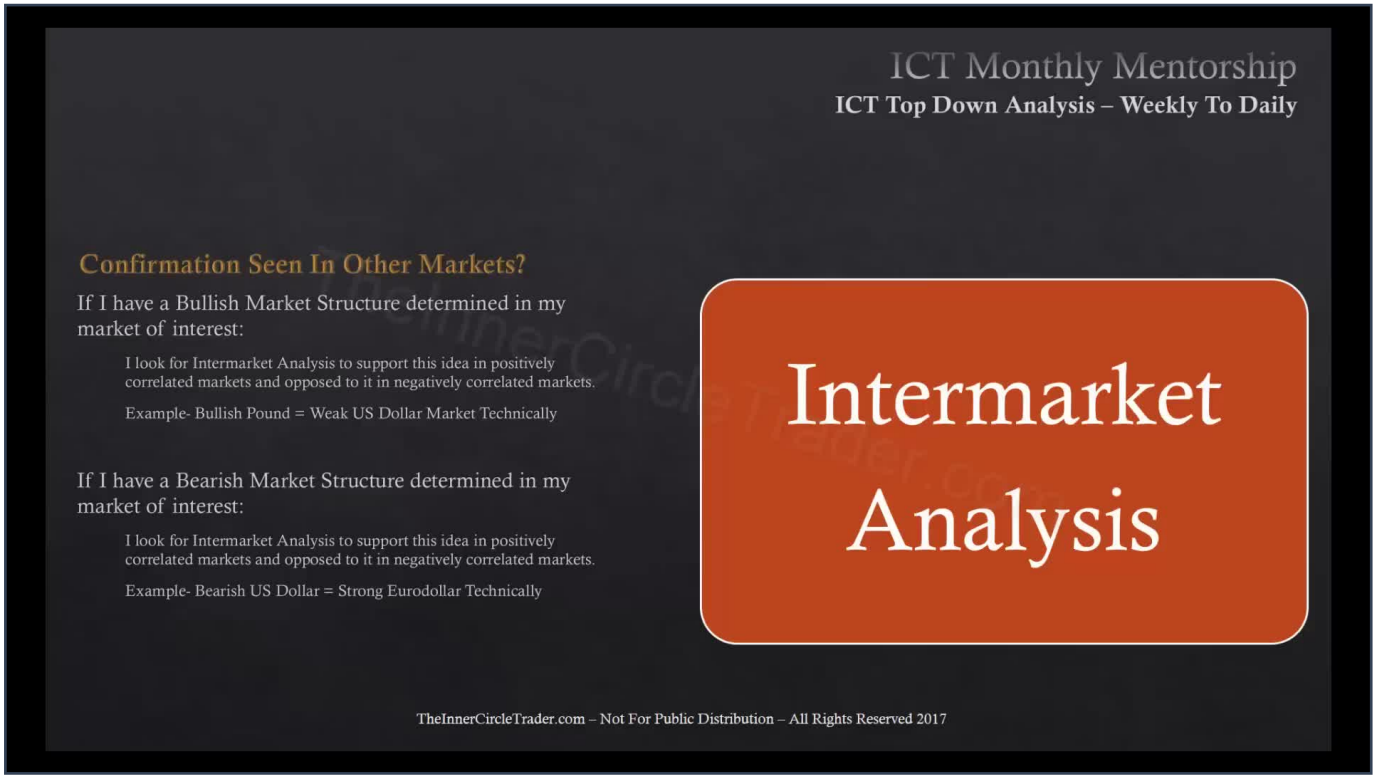
For Market Sentiment reading, I use headlines from financial publications like Investors Business Daily, Barrens, Wall Street Journal, Bloomberg, and I like to fade the big story. Now the news isn't always going to be marked to market the very day it comes out. Sometimes it can, but generally when I like, I like to see storylines start building in a consensus or sentiment idea about, you know, doom and gloom or everything's great, you know, this is the best bull market ever seen and it's on fire, or there's. I like to use headlines or stories to have real big descriptive adjectives, you know, something that gets things emotionally charged. Okay, the more emotionally charged or descriptive they are and the more that they occur, generally that builds in a sentiment idea. And I hunt forums, uh, you know, for retail thinking, and to further build my sentiment opinion. So I go to all the well-known forums online, and if I want to do like a trade in the cable, I'll go and look at what all the retail minded individuals are going to do there. It's uncanny, uncanny when the technicals are in line like I teach it and then the sentiment idea they're saying the 100 opposite of what we expect to see in price. It's unbelievable how it's like diametrically opposed.



And as a technical Market Sentiment reading, I use a Williams Percent R indicator. And yes, I said the word indicator. I use a Percent R on a weekly chart in periods of 20, 14 period, and 10. Now they're not all three applied, okay? There's the three settings that I like to use, and what I'll do is I look for which one is the most accurately depicting or overlaps with the previous important highs and lows that's done in the past. Nothing's going to be perfect, okay? But I like to have a technical sentiment indicator in concert with what I'm seeing in the forums for retail thinking and what I'm seeing in the storylines in the newspapers or the articles or whatever I see on CNBC. So when all three of these things come together, that builds my sentiment.

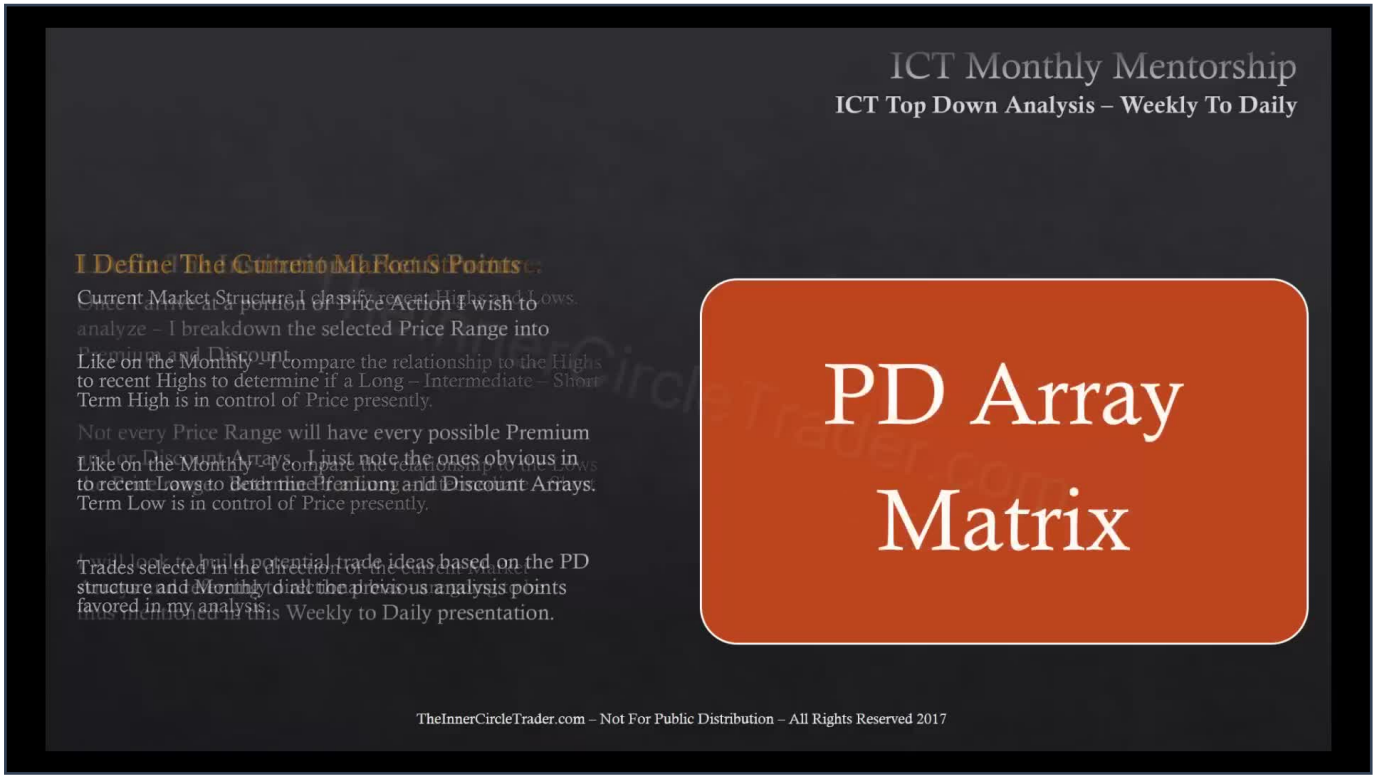
Alright, and what profile is the market in, much like we did with the monthly chart on. This breeze right through it because it's very, it's basically the verbatim: is the market under uh consolidation? If it's yes, then expansion is likely to show evidence prior to a breakout. We can start seeing things that lead well to a directional bias that will move outside that consolidation because we want to know what the next move is going to be. And if it's not in consolidation, the trend might be reaching an extreme, and if it is, it may be a retracement, not only a reversal, but I always like to see retracement first as my first choice. And is the market under study um trending? And if it is trending, you I'm always going to be citing or looking for continuation trades to avoid the top and pick top and bottom picking. And if it's not trending, I look for signs to support a directional breakout while it's in consolidation. I use Intermarket Analysis to do that. And it's the market under a retracement? And these are, this is the third question I ask myself, and if it's under retracement, then I look for signs for continuation of the Trade Post retracement. And think about what I showed you in the monthly teaching as the monthly chart was retracing for the Australian dollar. It retraced down into a bullish order block on a monthly basis, and that would be an ideal scenario for us that goes long. But if it's not retracing, then I have to determine if it's consolidation or trending, and I use the above ideas to get more information, and that's what I do for Market Profiling on the weekly chart, just like I did on the monthly.

And everything that we saw on the monthly for Intermarket Analysis is done here as well. And if I have a bullish Market Structure determined in my market of interest, you know, if I look for intermarket analysis to support the idea of positively correlated markets and opposed to it in negatively correlated markets. Example: a bullish pound, I'd like to see a weak U.S. dollar technically. And if it's a bearish Market Structure determined in my market of interest, I look for intermarket analysis support the idea and positively correlated markets and opposed to it in negatively correlated markets. Example: a bearish U.S. dollar and strong Euro dollar technically.



And after that, I go into Market Structure, and again, I want to start incorporating institutional order flow here, looking for premium arrays breaking in bullish markets and discount array supporting price, and reverses when it's bearish. I want to see premium arrays resisting price and discount rates breaking down and not providing any kind of support. That goes in concert with normal Market Structure as outlined here. So I'm going to be defining the current market structure on a weekly basis. Current market structure I look to I classify every high and low relative to SMT ideas, you know, comparing it to a dollar or correlated payer SMT. In other words, Euro to cable, or Euro to dollar. So you have USDX SMT and correlated pair SMT on a weekly, I start using it there.

And like on the monthly, I compare the relationship with the highs to recent highs to determine if the long, intermediate, or short term high is in control of price presently. And like on the monthly, I compare the relationship to the lows to recent lows to determine if a low is a long-term, intermediate term, or short-term low, and if it's in control price presently. Trade selected in the direction of the current market structure and monthly directional bias are going to be favored in my analysis.



And then obviously like we did on the monthly, I'm going to be locating institutional focus points. Once I arrive at a portion of price action I wish to analyze, I break down the selected price range into premium and discount. Not every price range will have every possible premium and or discount array. I'm going to just note the ones that are obvious in the weekly range, and both premium and discount arrays are going to be identified, and I'll look for to build potential trade ideas based on PD arrays and referring to all previous analysis points thus mentioned in this weekly to daily presentation.

CALIBRATING KEY PRICE LEVELS WITH ROUNDING

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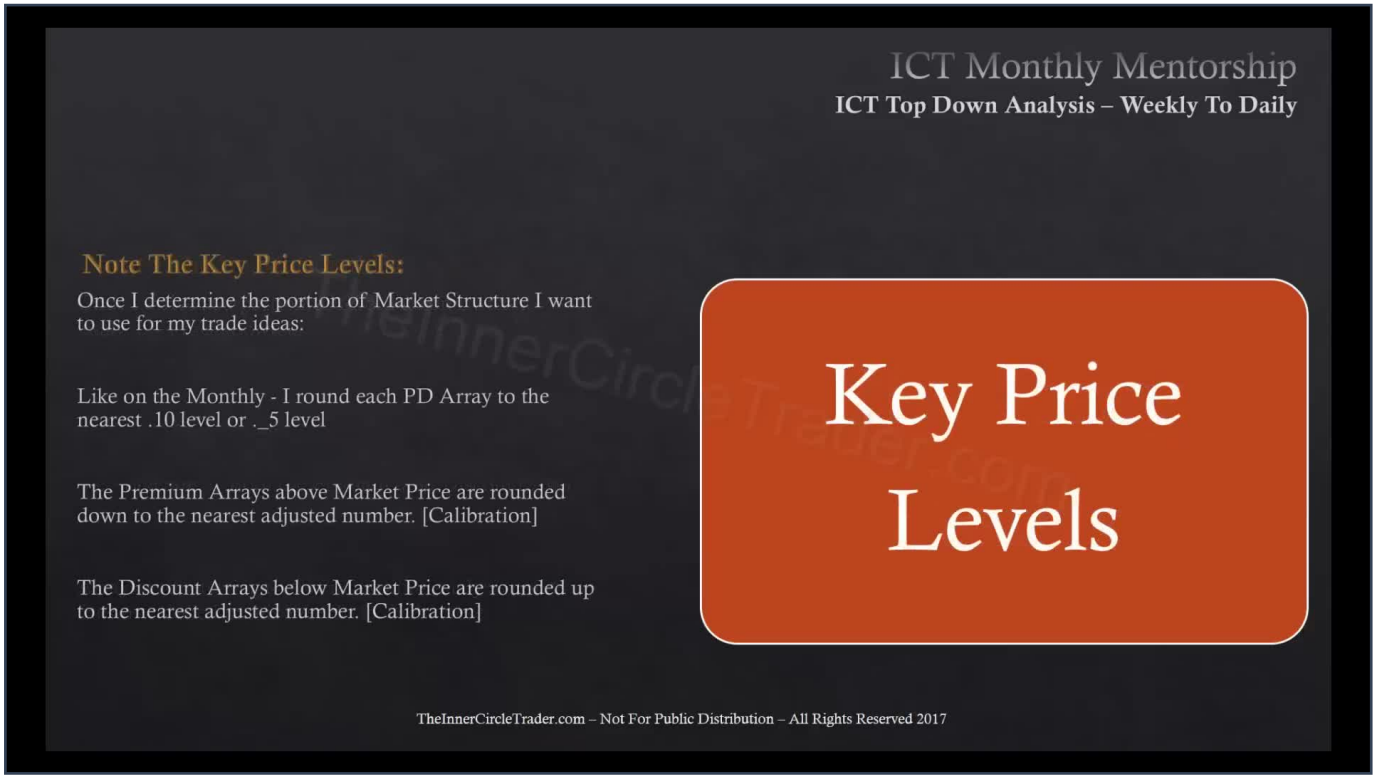

I'm going to be noting the key price levels relative to the premium and discount arrays on the weekly. And once determined the portions of the market structure I want to use for my trade ideas, like on the monthly, I round each PD array to the nearest 10 level or five level. And premium arrays above the market price are calibrated and rounded down to the nearest adjusted number. And discount arrays below the market price are calibrated and rounded up to the nearest adjusted number, either five or 10 level.

And we end with a weekly bias. So after I refer to Relative Strength for leaders and laggards, I go into Commitment of Traders. I look for the buying and selling based on their standard zero line, are they above or below the zero line? And then I break it down into my hedging program concept where we can look at the last 12 months and look at the highest high and lowest low of just their net holdings and disregard the zero line that everybody else uses for net Trader position graphs. And then split that in half, and above it would be buying and below it will be selling. I've done a teaching about that, and you guys can refer back to that as well if you have any more questions about after we get through this month's content, obviously we have plenty of time to go over that. Then I determine the market sentiment based on those three principal approaches. And then I confirm my analysis with Market Correlation, so either USDX SMT or correlated pair SMT, and or, like for instance, like dollar to commodities, you know, dollar going down, commodities going higher, those types of things. I'm looking for that to occur on the weekly chart. And I select a portion of Market Structure to frame a trade within, and then I defined the PD arrays to arrive at key levels within that range on the weekly chart. And by that time, I will have arrived in a directional biased analysis and a weekly time frame that gets transposed over to the Daily.

So what we're going to do now is we're going to return back to our Aussie dollar example and break that down, all the things we've done here, we're going to apply it to that Weekly to daily principle. Okay, we're back on our Aussie dollars as a monthly, and all I did was change some colors to keep it in better clarity. We have a rejection block over here and our old high netted here as premium arrays. This is our range defined by our low and our high, and this is the discounted array. It was the nearest below price action as we started, uh, June, or order block, that mean threshold would be in here as well, but I'm just going to try to keep it clean. And then we have the rejection block, lowest close, and then we have the low itself that would be identified, and then liquidity pool below it. So, on the upside, we had one, two premium array, and then we had another that we'll add here, which is the old high here.

And then there will be another one should this one break. The next PD array I want to print premium basis would be up here, the last up close candle, which will be a bullish order block from a monthly standpoint. And again, we're getting a little rich with the objectives in terms of premium now, but I just want to show you how you would just keep walking out with this. And then we have somewhat of a fair value Gap in here as well, so we could identify that to this High here. So there's all of our premium arrays on the Australian monthly. Okay, so now once we have all this, now once this range has been broken to from this low to this high, so now this range is no longer valid. Okay, so now we had price traded outside for external liquidity, external range liquidity, and now the next Range High would be up here. So if this high was to be broken, then we would start looking for fair value Gap to define the range, and then the bullish order block, and you just keep expanding that up. Okay, and should this bullish order block give way, we would be looking for this all this downside delivery on price to be rebalanced, but that's so far away and not germane into the discussion at the moment, but that's how we would do it.

AUSSIE DOLLAR EXAMPLE: MONTHLY TO WEEKLY TRANSPOSITION

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So now we're going to drop down into, and again, this line here just delineates the beginning of May, and uh, on the monthly chart. So now we have to adjust it to June, because we're going to drop down to a weekly and we want to see all the relative price action. So now we have everything that was on the monthly transposed to the weekly chart. So now we have all of our premium arrays, discount arrays identified here. And again, our initial range was defined by this high, this low. Once this high was formed here, this range is no longer valid, but we do refer back to it as a discount array because it's below price. So we would come back down to this potency as a support level, but we would look to justify why price may still reach up into the 83s, okay, on or 82.90s from a monthly premium array basis. But I want you to take a look at how the price levels from the monthly are going to be used in the weekly.

AUSSIE DOLLAR EXAMPLE: RELATIVE STRENGTH AND SEASONAL TENDENCY

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Once we go through Relative Strength, we're looking at the lows in here relative to the Australian dollar, and we're going to take a look at the dollar Index at the same time, and we can see there was really no disparity amongst the two markets. Aussie was calling for higher, whereas the dollar was looking weak as well, so you would see lower prices. So from a relative strength standpoint, no disparity in here, so everything's confirming it, so we have weakness in the dollar as expected and strength in Aussie. Okay, so we didn't see any cracking correlation there, so everything looks healthy for this move to transpire with the seasonal tendency for June to be higher.

AUSSIE DOLLAR EXAMPLE: REFINING WEEKLY ORDER BLOCKS AND FAIR VALUE GAPS

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We get the higher move off of the bullish order block, okay, from a monthly standpoint, which is what this level is here. This is the monthly bullish order block. But notice also that price inside this range prior to move out right here, this low to high. Let's look at this whole entire range a little bit more detail. We have this candle here, where once it took off above this short term high on this candle, so above 0.7357, only buy side delivery is offered until it came back down and rebalanced. The high on this candle comes in at 0.7357. The low on this candle comes in at 0.7329, so it more than comes down and rebalances that. So we have a rebalance point. We can take this order block now and refine it down to this level here, get a little bit more detail in terms of where the low may form in this retracement that we saw on the monthly. So we have a more refined PD array for a discount at this level here.

AUSSIE DOLLAR EXAMPLE: WEEKLY BULLISH ORDER BLOCKS AND SUPPORT

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And if we look at these two candles here, which makes a weekly bullish order block, all these things help us align ourselves with a much more refined and calibrated level. We have equilibrium in here, so price we don't want to see it go down to that level or through it. I mean, I shouldn't say shouldn't, it can go down to it, but we just don't want to see it violated, and that's that level there, and we'll get rid of this now. So now we have a little bit more detail in terms of our discount arrays. Price trades down, finds some support at the bullish order block and fair value gap on weekly, and price now trades through this up close candle. I'm sorry, this down close candle is violated with his up close candle, so this becomes a bullish order block. So we can anticipate price returning back to this.

AUSSIE DOLLAR EXAMPLE: INSTITUTIONAL ORDER FLOW ON WEEKLY

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So we're incorporating institutional order flow in here. Beautiful delivery of price there with this low body, this candle's opening and runs away and reaches for the buy side liquidity resting above the equal highs and above the range, which is what these levels are here for the monthly. And also, we're starting to see support come in with the down closed candles in here, okay, the bodies. The open on this candle is 0.7557, draw that out in time. To close is 0.7571. The open on this candle is 0.7568. This down closed candle becomes a bullish order block when this candle trades through it. We find we traded back down into it here. Price then runs away, creates the run or for a little resistance liquidity run resting above these equal highs. Okay, so we can see the element of institutional order flow seen in the weekly chart now supporting price moving higher.

Okay, we're looking at the Commitment of Traders report, and this is the Australian dollar. And I've already done the hedging program concept that's unique to me. You can see the actual real institutional buying and selling when you do this. And what I did was I highlighted the beginning of June. You would have done this, okay? And it's hard to see with this, but it's the red line, okay? Here's a red line all up here, and it stair steps down, goes to here, it goes back up, goes down, goes back up. Damn, stays down here and goes back up for a period of time, then it drops down again. Okay? What I did was at June, I went back 12 months to the previous year's June, which is this line right here, okay? And that was the highest reading since that time to June of 2017. And I look for the lowest low, okay? And I just used this reading down here, went back to some May just to make sure I got a good range to work within. And I split that range in half to high and the low, and this is the midway point. So it becomes basically this zero line that's normally on a net trading position chart. I use the 12-month range, if you split it in half, the highest and the lowest, and divide it in half, you get this ebb and flow type thing. Okay, and when I started doing this for commodities and looking at Futures contracts and such, especially with currencies, it became like a huge light bulb. You can't, they can't hide from you anymore. See, I think they started messing with the data to screw up the presentation of the COT net position charts. And by having that like this, it it gives us actually I think I just took away some of the green, didn't I? I don't think I did. Anyway, this should go a little bit higher than that, this should all be green in here, and I'll show you what I how I did it in a second, but the main point is in June right here, you can see that they were above the modified ICT hedging program concept where you can see whether they're hedging and buying and selling. So just a real quick look, you can see during the buy time here, they bought the low here, and during this red time here, they sold down. Went long in here, we had that rally up, and we had this selling here where they sold into the rally. Then they bought it back in here at this low, they sold it again, and here which is that decline, and they bought it up again here which is this buy right here in June, and there's a runoff. So we had in our weekly to daily uh procedure, we'd look

for see uh the the seasonal influence for bullishness in June to come into Australian dollar. We did a relative strength studies, we did see an SMT divergence on Aussie to dollar. Aussie was failing to make a lower low when, um, dollar Index made a higher high, and that was in place, that was working. So the Commitment of Traders report and graph, as we'll show the Australia's original one in contrast to what you're seeing here. But COT data and the ICT hedging program, again, you can't find this anywhere else folks, you learned it here. So looking at this information, it gives us when the commercial is really buying, when they're really selling. Okay, and it's not always indicative of what you would normally see in a standard COT graph.

AUSSIE DOLLAR EXAMPLE: COT - INSTITUTIONAL BUYING AT THE LOW

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So we can see the real institutional hedging right in here, what they're buying right at the low. Okay, notice also it happens right when they close in the Gap. So the only device I deliver here to this candle's high, right down to it right there, boom, hits it. Okay, and it rallies away, all overlapping with them being net long. Notice that they aren't really that long until they get above zero. If you look at the way everyone else looks at the modestly bullish there, doesn't have to be viewed like that. We can see this is actually a big massive increase of buying, whereas so you can see when they come down and close that Gap, they were much longer using my way of using COT data than that of the standard COT graph.

Which we'll look at in a moment now. So let's close this uh here and you see what it looks like in paint. And all I did was did a right click on bar chart uh chart once I applied a weekly contract and put the COT data on a large presentation. Okay, and I'll show you what that looks like when we go over to barchart.com. And what we do is I'm going to take all this off, and you can see without it all in here, it's not as apparent. Without the information, it just looks like a bunch of squiggly lines. Okay, and yeah, you can see they just modestly went above the zero line right here, but many times you're going to find that using my way of interpreting COT data, they'll be below the zero line, but it still gives you a huge massive influx of buying. Okay, and let's go over to barchart.com uh actual chart without the line and about me giving you the 12 month perspective. Okay, and you can see very modest little buy Above the zero line, but when you look at it in contrast to how I showed it, it's a much more massive buying they did there. And look at the reaction in price. That's Inner Circle Trader stuff right there. Okay, that's worth the price of the mission alone.

So you can see how they remained below the zero line down here, okay, for the most part, but every time it rallied, okay, you know, why did they buy up here when they're still below zero line? That was one of the things that plagued me as a Trader, like COT data stuff didn't work. I was doing it wrong because I was doing exactly what the book said, so I changed it and threw out what Larry Williams said about just look for this and look for that. No, I looked at if they're hedging, they should be doing things from a seasonal standpoint. And I found it in the grain market, and by doing it like that, seeing it cyclically happening, I was like, well, let me try to apply it to the currencies. Well, currencies are cyclical just like anything else because it's because of monetary policy, because of global Commerce, all those types of things. I mean, think about it, you know, there's holidays around the world that happen every single calendar year at single, every single calendar uh date that they're supposed to happen on. You know, everybody has some kind of a new year type celebration. You don't think it's people spending money? Of course, they are. So if we look at these cyclical things, then why wouldn't there be cyclical things in the technicals with the commercials? So I think that's what's happened, they've skewed this data to kind of screw it up. And because it's law, CFTC requires them to report this information, which I'm so thankful for, um, it gives us a greater insight about what's going on. And yes, you can see a net long position that's really, really wimpy right above here, but if you look at the readings of the low end, this is towards the high end of the range, so this is a massive buy, and that's why you get that big explosive price move right there. Very, very indicative of smart money accumulation.

So then we have ideas about going through headlines and using major publications and such. And here's Bloomberg, and this was on May 15, 2017: 'The Australian dollar's Outlook darkens.' Okay, does that sound like it's uh bullish or bearish? Well, obviously, it's indicating that they think it's going down hard. Now, in fairness, this is about midpoint of May, but this is when I want to start seeing, I want to see these storylines start building these ideas about how, oh, it's doom and gloom, or it's peaches and cream, it's wonderful, ticker tape parade, you know, exasperation, uh, you know, everything's great, or everything's terrible. You know, when the storylines start getting so heavily slanted on one side or the other, good or bad, it begins, it begins to build in sentiment ideas. Okay, and sentiment is a really strong element to technicals when you work with them, uh, in a diametrically opposed condition. In other words, if Market Sentiment like this is bearish, in other words, we would interpret this as bearish, so retail Traders see this like, 'I don't want to buy Australian dollar, I'm scared because they said it's going to go bad, it's going to go lower.' You know, Bloomberg, you know, think about Bloomberg, they should know what they're talking about, right? Okay, well, let's take another look at another person here. Here's Daily FX, okay, and I'm gonna have to block out this uh this guy's face and name because I don't want to, you know, be in trouble valuing that stuff. But uh here's Daily FX, and 'Australian dollar may find itself ex over extended.' Okay, so in other words, uh, the fundamental Australian dollar forecast is bearish, and eventually, um, Australian dollar goes another several hundred Pips higher as a result of all this wonderful insight. And here's another one: 'Aussie dollar is directionless,' May 30th, 2017. It's directionless folks, okay? It's the, you know, the end of May, and our seasonals are calling for it to rally, and that's the end of May right here, and then we get this.

AUSSIE DOLLAR EXAMPLE: OPPOSING RETAIL SENTIMENT

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So what we're doing is we're putting an arm wrestling match against the banks and the neophyte Traders or those, you know, the stupid people, the dumb money, okay, uh, the Working Class Hero, you know, Traders, guys, the guys that don't really know much, the baby Pips, if you will, okay? And if you have, uh, smart money against an entity like that, obviously, you know who's going to win at the end, okay? You don't want to be in the uninformed crowd, and they are uninformed because they follow all of the crumbs that's being laid in front of them like good slaves, okay, like good sheep, they're going to eat what's placed in front of them. All these news events, they're there to build in sentiment, all these media companies, okay? I wouldn't be surprised if they're not in cahoots to make this whole thing unfold just like that. Okay, it's it's conditional programming. So over a period of time, they start building these ideas, eventually you keep telling somebody it's bad, it's bad, it's bad, they're going to think it's bad too, okay? And then they're going to tell everybody they know about the whole thing. So the sentiment like an opinion gets shared with everyone, and the more it spreads, it's like a virus, it permeates everything. And since we're on a social media and uh, technology, uh, error, it's so easy to share an opinion, so once an opinion is developed and it's shared widespread, it builds in a huge diametrically opposed condition, which is Market Sentiment. So by itself, if I see these types of things, these ads and articles, and then I see it in a sentiment play like here, we have Australian dollar.

AUSSIE DOLLAR EXAMPLE: CALIBRATING WILLIAMS PERCENT R FOR SENTIMENT

And we're going to now apply a sentiment reading with oscillator Williams Percent R, and we'll start with the 20. Okay, and here we are, um, ideal long entry, I have it set at 80 and ideal short entry, or sell basically, if you're long is 20. So this is 20, and I'm going to go back, it gave a good reading for this buy here. Uh, didn't give me a good buy there. Did give me a good buy there, okay, so 20's it's iffy. So now we're going to change the indicator to 14. And this does look like form fitting, I I know, but you'll see what I'm doing here in a second. Okay, so now we have a nice reading here. We have a nice reading here. We have a nice reading here. So when price came down again and here, this should be a good buy, and it was. So this is, uh, calibrated the 14 period for sentiment, and we've done that by justifying the old lows back here. See how fast it took it. And I'll give you three to choose from: 20, 14, and 10. Now if I go to uh 10 period, it'll probably still do very well, um, but you really want to have a little bit more time, you don't want to always use the smallest one because the smallest one will always generally give you a good reading regardless, and that sometimes is a little too sugar coated in my opinion. But you can see it does it here, here, here, here, here, here, and here as well. But 14 periods, in my opinion, would have been optimal because it gives you a little bit more time filter, okay? It smooths it out a little bit more versus these jagged, uh, up and down readings you can get with a 10 period on a weekly, uh, candle. So we have sentiment, we'll put that back on 14, so that way it stays with us our presentation.

So we have our macro sentiment in terms of technicals down here saying we're, you know, this is everybody thinks it's bearish, okay? It's bearish, bearish, bearish, okay? Short cover and ideal long, okay, towards the 80 reading. And also at the same time, when all the headlines were saying it's the end of the world for Australian dollar, it's going to go down or its directionless, nobody was saying it's going to go up. So sentiment was what? Bearish. Technically it's bullish because it's an extreme reading down here, and we built all the ideas with the premium, uh, and discount arrays where we were in a discount array, bullish order block, fair value gap closed, and seasonal tendency. Boom, explosion. Okay, so we had, we covered the, uh, relative strength aspect. We looked at the CRT, used both the natural use of COT graph, zero line above as bullish, below is bearish. And then I used my ICT hedging program concept where you use the 12-month range, go back 12 months, find the highest and the lowest reading on the commercials holding only, okay? Just the commercials, you're getting that reading. Let's put that line in half, do it on paint, and then you can get a real closer depiction of what they're buying and selling is. And we figured out by sentiment looking at the headlines that the Australian dollar, they were saying it was directionless or bearish, nothing was long, so Market Sentiment was bearish, and diametrically opposed to commercials which were buying. And we have seasonal influence expecting June lows to occur and a rally in June. And we have it technically also with the Williams Percent R, okay? So we can see a visual depiction of sentiment being bullish because it's extreme oversold. This means this is what the public thinks it's going down. This thing's the, uh, they think the public is extremely bullish here. Public is bearish, public is bullish, public is bearish, public is bullish, public is bearish. And if we diametrically oppose ourselves to that view, when all of our smart money concepts that I've been teaching you when news overlap, and then you have seasonal too, ugh, it's just like taking candy from a baby, it's so easy.

AUSSIE DOLLAR EXAMPLE: MARKET PROFILING AND INTERMARKET ANALYSIS CONCLUSION

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Now we go into Market Profiling as well. So we had market come off this low, rally away, then retrace. So we're in a consolidation, but we now at this point, we know the consolidation is giving us clues it's going to break out to the upside. If that's true, then we should be looking for the profiling of a retracement. Even though we're in a long-term consolidation on the monthly, on the weekly, it changes to now we're in a retracement, and it's expecting an expansion swing. So this is an impulse swing, retracement, expansion swing, okay? Expansion swing tends to go a little bit more than the impulse swing, does, that's why we have our Fibonaccis usually, um, overlapped with this to get our extensions for targets. So from profiling standpoint, we see a retracement to expansion. And Intermarket Analysis, we already saw that the dollar Index was supporting this up move by weakness in the part of the dollar.

And from a PD Array Matrix standpoint, we have all of our discount arrays, the bullish Order Box, okay, supporting price. You see buying coming in here, and up close candles are breaking here, okay? And price has gone through and taken out the monthly rejection block and the old High. That's what these levels are, okay? And that's an example of taking all the information from a monthly chart, transposing it to a weekly, and now weekly down into a daily. So we take all this information, okay, all this information will be transposed and placed onto a daily chart for our short-term analysis top-down approach in our third teaching next week.

So hopefully you found this insightful. Again, we'll build on these concepts and give you much more detail, but for now, this is all that it takes. All the information you've learned, that's all we do. We take what you've been shown here from a process from beginning to end, and you do things modularly. You don't try to apply everything, you don't try to push all the concepts into one time frame and try to make it all speak to you because you'll never get any, you'll be confused. None of this should be confusing to you, it's really simple, it's streamlined. There's not a whole lot of everything applied. Each specific time frame has its respective characteristics, and you have to apply certain tools to those time frames. Notice we didn't do a whole lot of, uh, you know, detail with analysis with time of day type things. It's not required on these time frames, monthly and weekly. Now when we go into daily our next teachings next week, you'll get much more refined information about time of day and a lot more indicators and tools. And that's probably what you're waiting for, but you don't need that stuff. This stuff here, what I've already shown you here so far, this is what everybody else lacks. So if they don't have this in a trading and it'll do well, is it probably something that they should start doing? Sure, but they're not in this group, so that they're going to be without this information.

If you use it and you try not to and increase with taking other disciplines and applying to it, keep it just as I've been showing you here, the previous lesson in this one. All we're doing is taking the information and building and fleshing out what the institution should do. Notice what we did, we applied seasonal influences that the technicals should support because of the technicals in our repeating seasonal tendencies or seeing higher prices and lower prices. Aussie dollar, we looked for seasonal low in June. It came, it came by way of institutional sponsorship, institutional order flow. The command the commercials weren't that long based on both camps, whether it uses my concept of the hedging program or using the standard COT graph. And sentiment was bearish to directionless. The words were 'directionless' or 'going to Hell in the handbasket,' that's basically what it was. Nobody was saying in the reports to buy Aussie dollar. Nobody was saying that, they were saying it's going to go down, and it didn't go down, it rammed right on up into a level we anticipated. We talked about this, in fact, I was looking for it in March, I was wrong, we had a little bit of retracement back here, but it came down to a buying opportunity, and look at the nice explosive price move there. We didn't miss it here, it was all, we were all over it. But the long and short of it is these are the components we use from monthly to weekly and now weekly to daily. And until next time, I wish you good luck and.